

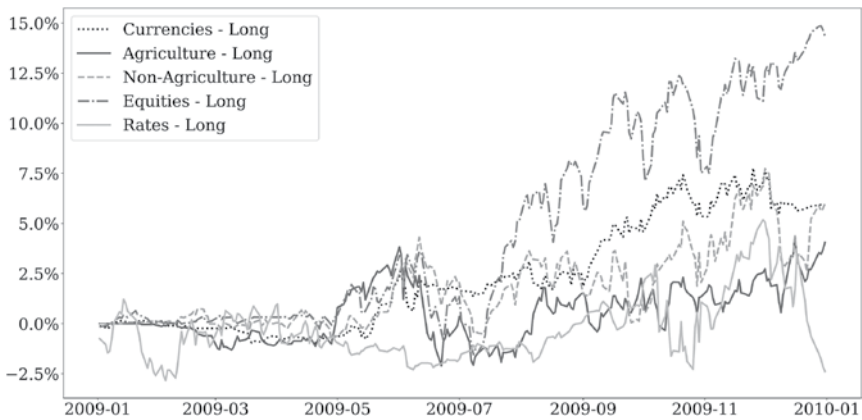


FIGURE 6.47 Long sector performance 2009.

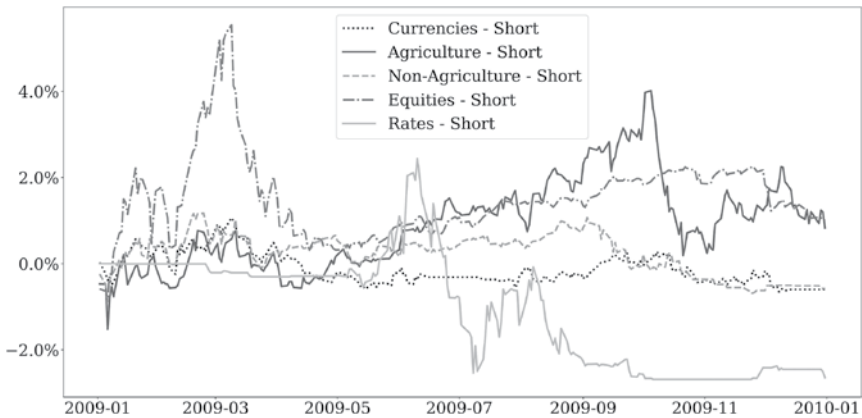


FIGURE 6.48 Short sector performance 2009.

The cattle situation was emblematic of the trendless markets we experienced during much of 2009 (Figure 6.49). The trend model kept trying to enter new positions, on both the long and the short side and they all failed again and again. It can be very difficult to keep trading, to keep taking new trade signals in a situation like this. It's just too demoralising to keep seeing loss after loss and too tempting to just skip a trade or two here and there. That would, of course, be a big mistake, and it's imperative that you take every single trade. The foundation of trend following is that a few extreme gains make up for many small losses. If the trade you skip happens to be the one that finally pays off, your entire year may be ruined.